# Investment Tax Credit (Individuals)

## General information

### Use this form if:

- you want to earn an investment tax credit (ITC) during the current tax year
- you are claiming a carryforward of an ITC from a previous year
- you have a recapture of an ITC on a scientific research and experimental development (SR&ED) expenditure
- you have a recapture of an ITC on a child care space expenditure
- you are requesting an ITC carryback
- you are claiming a refund for an ITC earned during the current tax year

You have to file this form no later than 12 months after the filing due date of your income tax and benefit return for the tax year in which you acquired an ITC related property or made an ITC related expenditure.

All legislative references are to the federal Income Tax Act (Act) and federal Income Tax Regulations (Regulations).

### Investments or expenditures, described in subsection 127(9) of the Act that are eligible for an ITC are:

- qualified expenditures that are part of the SR&ED qualified expenditure pool, complete Form T661, Scientific Research and Experimental Development (SR&ED) Expenditures Claim
- qualified property
- flow-through mining expenditures related to mineral exploration (also referred to as renounced Canadian exploration expenses)
- flow-through mining expenditures related to critical mineral exploration (also referred to as renounced Canadian exploration expenses)
- apprenticeship job creation expenditures

## Detailed information and definitions

### Atlantic Investment Tax Credit

#### Atlantic Canada and Atlantic region

For the purposes of the Atlantic Investment Tax Credit, these expressions include the Gaspé Peninsula and the provinces of Newfoundland and Labrador, Prince Edward Island, Nova Scotia, and New Brunswick, as well as their respective offshore regions (prescribed in Regulations 4609).

#### Gaspé Peninsula

For the purposes of the Atlantic Investment Tax Credit, this expression means that portion of the Gaspé region of the Province of Quebec that extends to the western border of Kamouraska County and includes the Magdalen Islands (as described in subsection 127(9) of the Act).

#### Qualified property

For the purposes of the Atlantic Investment Tax Credit, this term means a category of new assets acquired primarily for use in the **Atlantic region** that are mainly used for farming or fishing, logging, manufacturing and processing, storing grain, and harvesting peat. Qualified property includes new buildings, new machinery and new equipment (prescribed in Regulations 4600). Qualified property can also be used primarily to produce or process electrical energy or steam in a prescribed area (as prescribed in Regulations 4610).

Qualified property may also include new energy generation and conservation property (prescribed in Regulations 4600) if it was acquired by the taxpayer **after** March 28, 2012.

For more information, see the definition of qualified property in subsection 127(9) of the Act.

#### Specified percentages for qualified property

If you acquired the property after 1994 for use in the Atlantic region, the specified percentage is 10%.

For more information on the Atlantic Investment Tax Credit, visit **canada.ca** and use the search bar to find the "Atlantic investment tax credit" web page.

## Detailed information and definitions (continued)

### Scientific research and experimental development (SR&ED)

#### Qualified SR&ED expenditures

You can receive scientific research and experimental development (SR&ED) ITCs on qualified expenditures. You can receive them in the form of a cash refund or a reduction of tax payable or both. Unused SR&ED ITCs can be carried back three years or carried forward 20 years.

To be a qualified SR&ED expenditure, an amount has to be incurred for SR&ED carried on in Canada. For tax purposes, Canada includes the "exclusive economic zone" (as defined in the Oceans Act to generally consist of an area of the sea that is within 200 nautical miles from the Canadian coastline), the airspace, seabed, and subsoil of that zone.

Qualified expenditures can include amounts incurred in the year for SR&ED that relate to your business and are carried on by you, or on your behalf. Only current expenditures for SR&ED can be claimed. Expenses related to an SR&ED contract or a third-party payment for SR&ED must be reduced by 20%.

#### ITC rate for a qualified expenditure

- The rate is 15%, of which up to 40% may be refundable.

**Note**
For more information, see Form T661, Scientific Research and Experimental Development (SR&ED) Expenditures Claim. If you are claiming an ITC for a qualified SR&ED expenditure, or you are reporting an ITC recapture for an ITC previously claimed on an expenditure for SR&ED, file Form T661 with your income tax and benefit return. For help completing the form, see Guide T4088, Scientific Research and Experimental Development (SR&ED) Expenditures Claim – Guide to Form T661.

Do **not** file Form T661 if you are claiming a credit for contributions made to agricultural organizations, or a credit based on a credit allocated to you by a partnership on a T5013 slip, Statement of Partnership Income.

#### Partnership allocations

An ITC earned by a partnership is usually allocated to a partner. However, an ITC earned on qualified SR&ED expenditures may not be allocated to a specified member of a partnership. If you received an allocation of ITC from a partnership, enter this allocated credit on line 67135 in Part A. For more information, see subsection 127(8) of the Act, and the SR&ED Claims for Partnerships Policy.

#### Contributions made to agricultural organizations for SR&ED

Agricultural producers can access ITCs earned on contributions made to agricultural organizations that fund SR&ED. Enter the amount on line 67130 in Part A. The rate is 15%.

#### Information on SR&ED

For more information on SR&ED and legislative or interpretative changes, see Guide T4088, Scientific Research and Experimental Development (SR&ED) Expenditures Claim – Guide to Form T661.

For more information on how to claim the SR&ED, go to **canada.ca/taxes-sred**.

### Mineral exploration tax credit (METC)

Certain renounced Canadian exploration expenses qualify for this ITC. For Canadian exploration expenses renounced by a corporation to an individual (or a partnership of which the individual is a member) and reported in the appropriate line in Part IV of Form T1229, Statement of resource expenses and depletion allowance, the specified percentage is 15%. The renunciation must be under a flow-through share (FTS) agreement entered into **after** March 31, 2019 and **before** April 1, 2024 with FTS financing for mineral exploration (which excludes coal deposits, tar sands, oil and gas).

### Critical mineral exploration tax credit (CMETC)

Certain renounced Canadian exploration expenses qualify for this ITC. The CMETC offers a 30% tax credit available to investors who invest in flow-through shares (FTS) in mining companies that undertake exploration for certain critical minerals in Canada. To qualify for this credit, the renunciation must be under a FTS agreement entered into **after** April 7, 2022 and **on or before** March 31, 2027. The designated critical minerals are: copper, nickel, lithium, cobalt, graphite, rare earth elements, scandium, titanium, gallium, vanadium, tellurium, magnesium, zinc, platinum group metals and uranium.
For Canadian exploration expenses renounced by a corporation to an individual (or a partnership of which the individual is a member) and reported in the appropriate line in Part IV of Form T1229, Statement of resource expenses and depletion allowance, the specified percentage is 30%.

For the exploration expenses eligible for the CMETC, you can choose to claim them for the CMETC (at 30%) or METC (at 15%), but **not** both. **You cannot change to the alternate credit later once you have chosen whether you want to earn the CMETC or the METC credit on your eligible exploration expenses**.

## Detailed information and definitions (continued)

### Apprenticeship job creation tax credit (AJCTC)

A percentage of eligible salary and wages payable to an employee registered in a prescribed trade in Canada in the first 24 months of their eligible apprenticeship contracts registered in Canada qualifies for a credit for the employer. The available credit is 10% of the eligible salary and wages payable in the year (**minus** any government or non-government assistance) up to $2,000 for each eligible apprentice, in respect of employment **after** May 1, 2006. The total of these amounts for all apprentices is the available non-refundable tax credit. Any unused credit may be carried back 3 years or carried forward 20 years.

### ITC for child care spaces

The ITC for child care spaces was repealed under budget 2017 and the transitional relief period was phased out at the end of 2019. Any unused amounts from previous years, however, can still be carried forward 20 years after the year the expenses were incurred. For more information see "Carryforward to future years" below.

### How to calculate and claim your ITC

The ITC is based on a percentage of the investment cost (the cost of the property you bought or the expenditures you made). If you received, are entitled to receive, or can reasonably expect to receive any reimbursement, inducement, or government or non-government assistance (including grants, subsidies, forgivable loans, or deductions from tax and investment allowances) that can reasonably be considered to relate to the property or expenditure, you have to decrease your investment cost by the amount you received, are entitled to receive, or can reasonably expect to receive (for SR&ED, this decrease is made on Form T661). If you repay any of this assistance, add the repayment to the investment cost. Calculate the ITC for any repayment using the same percentage you would have used for the original investment cost.

Determine your ITC at the end of 2022. If the fiscal year-end of your business is in 2022, include any ITC you earn on the property you buy during the calendar year. Investments and expenditures are eligible for an ITC only when the income from the related business is subject to Part I of the Income Tax Act.

Properties acquired are eligible for an ITC claim **only** when the properties are considered to be **available for use**. For an explanation of **available for use**, see any of the following guides:

- Guide T4002, Self-employed Business, Professional, Commission, Farming, and Fishing Income
- Guide RC4060, Farming Income and the AgriStability and AgriInvest Programs Guide
- Guide RC4408, Farming Income and the AgriStability and AgriInvest Programs Harmonized Guide

You can use the ITC that you earn in 2022 to reduce your federal tax for a previous year, for the 2022 tax year or for a future year. A portion of the unused refundable ITC may be refundable.

**Current-year claim:**

To calculate your ITC to reduce your federal income tax for 2022 complete parts A to D of this form. Enter the amount of your credit on line 41200 of your income tax and benefit return. If a partnership or trust made the investments, enter only your share of the credit on line 67135 in Part A.

**Carryback to previous years:**

You can carry back the ITC you earn in 2022 for up to three years and use it to reduce your federal tax in those years by completing Part E of this form. If you are a trust and were subject to a loss restriction event, special rules may apply to limit the ITC carryback.

**Carryforward to future years:**

You can carry forward unused ITCs earned in tax years that end after 1997 for up to 20 years (see Part D to calculate your claim). For information on loss restriction events, see subsection 251.2(2) of the Act.

**Refund of ITC**

If you do not use all of your ITC to reduce your taxes in the year or in the three previous years, we may refund up to 40% of your unused credit to you. You can only claim this refund in the year you buy property or make an expenditure that qualifies for the credit, unless the available for use rules (or other rules deeming the expenditure to have been made in a later year) apply. To claim a refund of an ITC, complete Part E of this form. Enter your refund amount on line 45400 of your income tax and benefit return. If a partnership or trust made the investments, enter only your share of the amount.

## Detailed information and definitions (continued)

### Adjustments

The credit you claim or that we refund to you for 2022 reduces the capital cost of the property. Any 2022 credit you carry back to a previous year will also reduce the capital cost of the property. Make this adjustment in 2023. This adjustment reduces the capital cost allowance you can claim for the property. It also affects your capital gain when you dispose of the property. You might have claimed a credit or received a refund for 2022 for a property that you already disposed of. In addition, you might still have other property in the same class. If so, reduce the undepreciated capital cost of the class for 2023 by the amount of the credit you claimed or received as a refund. If, after the disposition, you do not have any property left in the same class, include the amount of the credit you claimed or received as a refund in your 2023 income.

Enter the amount as other income on line 9600 if you are filing any of the following forms:

- Form T2121, Statement of Fishing Activities
- Form T2042, Statement of Farming Activities
- Form T1163, Statement A – AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Individuals
- Form T1164, Statement B – AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Additional Farming Operations
- Form T1273, Statement A – Harmonized AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Individuals
- Form T1274, Statement B – Harmonized AgriStability and AgriInvest Programs Information and Statement of Farming Activities for Additional Farming Operations

If you are filing Form T2125, Statement of Business or Professional Activities, enter the amount on line 8230.

An ITC deducted or refunded for SR&ED will reduce the pool of deductible SR&ED expenditures, the adjusted cost base (ACB) of an interest in a partnership, and the ACB of a capital interest in a trust in the next tax year.

For more information on ITCs and their recapture, visit **canada.ca/revenue-agency** or see the SR&ED Investment Tax Credit Policy, and Interpretation Bulletin IT411R, Meaning of "Construction", Information Circular IC78-4R3, Investment Tax Credit Rates, and IC78-4R3SR, Special Release – Investment Tax Credit Rates.